Recommendation

Assuming a VC-style 3× return hurdle and a three-year holding period, this memo makes the case for equity participation at **$7.5B**.

Expected return at a 3-year hold benchmarked against a 3× VC-style return

Entry Point	Expected ×	Posture
$7.5B	3.45×	Yes
$10B	2.59×	Subject to further DD
$12.5B	2.07×	Pass

Expected × is the probability-weighted realised return at a 3-year hold, integrating world weights, volume trajectories, multiples, exit-path mix, path-specific realisation discounts and hold-period proration.

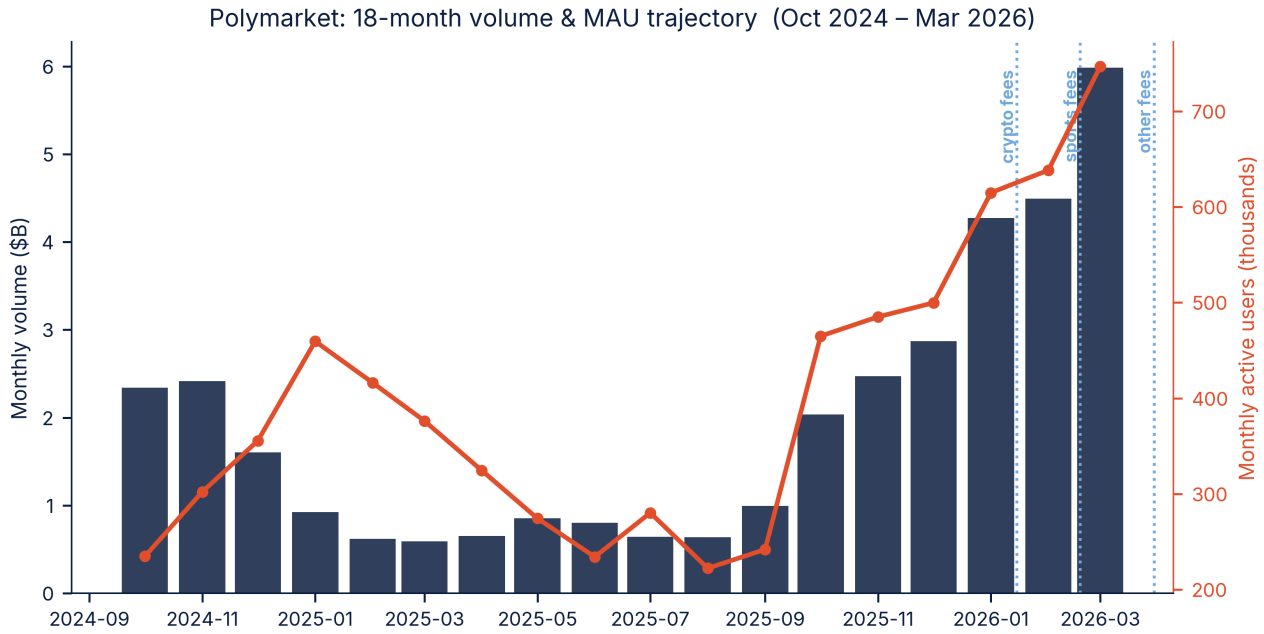
Business Model

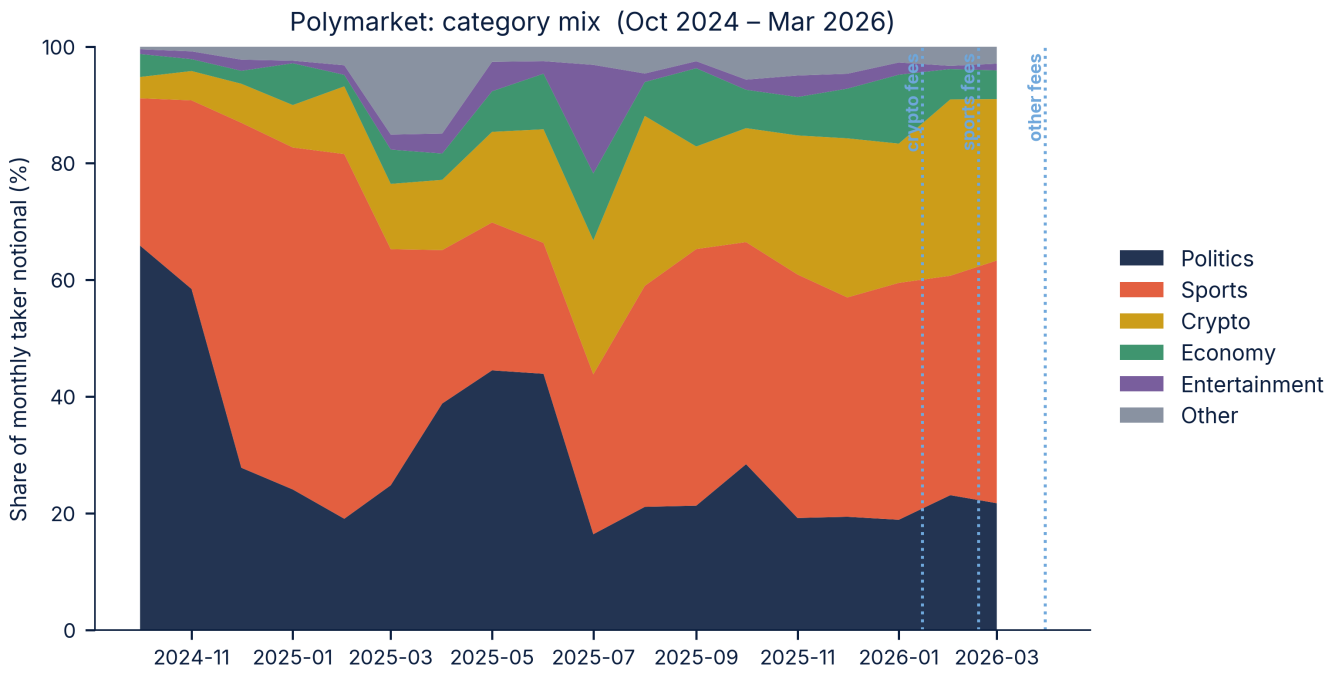
Polymarket runs a central-limit-order-book exchange for binary event contracts, hosted on Polygon. Their regulated US venue, QCEX, is expected operational by Q3 or Q4 2026. Platform fees were activated Jan-Mar 2026, fees scale with market probability and differ by category with the peak fee schedule being crypto 1.8%, economics 1.5%, weather/culture 1.25%, finance/tech/politics 1.0%, sports 0.75%, geopolitics free. Fees are taken from the taker side; 20-25% of the headline taker fee is rebated to makers in USDC the following day.

Current state, March 2026

Metric	March 2026
Monthly volume (single-sided USDC)	$5.98B
Unique active wallets (MAU)	746,927
Gross fees charged (USD-equivalent)	$190M
Refunds (ceiling-to-formula adjustment + rebates)	−$173M
Net protocol fees	$16.9M
Annualised net ARR	$203M

Polymarket's fee modules (regular CTFExchange + NegRisk CTFExchange) emit FeeCharged events at the ceiling rate, then refund the difference between ceiling and the formula-derived true fee (p×(1−p) probability adjustment) plus maker rebates.





Over the seventeen months from October 2024 to March 2026 volume grew from $256M to $5.98B per month. Active wallets tripled from 234k to 747k and are still rising. So far, each fee activation has produced month-on-month growth in both volume and users, which is the strongest piece of empirical evidence against the common concern that charging for access would drive traders off-venue. Nonetheless, Polymarket is in the very early stages of monetisation, so it is yet to be seen which categories will be most fee-sensitive.

Cost structure

On-chain we can see maker rebates, Polygon gas and UMA oracle fees. Everything off-chain (headcount, legal, marketing) is a black box and therefore represents a material diligence gap. Runway is assumed to be strong given recent primary rounds but cash position, burn rate and confidence in margin profile remain open questions.

Market Sizing and Competition

Sizing

The high-level picture is captured in the Keyrock × Dune Prediction Markets report. Keyrock argues prediction markets are entering their 'derivatives moment' - the same inflection options markets hit in the 1980s when regulation, standardisation and professional market-making converted a niche instrument into a core asset class. Their central thesis is that prediction markets are becoming a new category of institutional derivatives, sitting alongside rates, FX and volatility products - not an adjacency of sports betting.

On-chain data echoes this shift but with a Polymarket-specific twist: from the post-election trough in April 2025 to March 2026, sports volume grew 12.7× and crypto 18.5×, while politics fell from 66% of mix at the October 2024 election peak to 22% - the diversification story on Polymarket specifically is less economics/tech and more crypto emerging as a second pillar alongside a reaccelerating sports book.

Polymarket currently skews more retail-speculative, which represents a measurable and large user pool. US sports betting handle grew from $57B in 2021 to $167B in 2025 but annual growth is decelerating even as hold rate climbs thanks to increased parlay mix. Alongside that $167B surface sit Robinhood's ~27M funded customers (event contracts its fastest-growing business per Q3 2025 earnings; ~$300M projected annual revenue per management commentary and ARK Invest modelling); Coinbase distributes to 100M+ crypto users. Polymarket itself already runs at 747k MAU on a geofenced perimeter.

Industry projection and Polymarket's share position. Keyrock × Dune report observes prediction-market sector wide activity:

- 2025 YTD: **$44B total industry volume** - Polymarket ~$21.5B (**49% share**), Kalshi ~$17.1B (39%)

- November 2025 monthly volume: **$13B → $156B annualised run-rate**
- Growth trajectory: **130×** from early-2024 to Nov-2025; MAU 150×; transactions 180×

Projecting industry volume to Q1 2029 by applying a 17–75% CAGR to the Nov-2025 run-rate, a steep deceleration from the observed trajectory, produces **$250–850B industry SAM by 2029**. Polymarket's addressable universe is the prediction-market industry itself; adjacent pools (sports handle, derivatives notional) flow into the industry and are captured in the growth rate rather than added to the denominator.

World	Industry 2029	PM implied share	PM 2029 volume
Bear	~$250B (17% CAGR)	~29%	$6B/mo ($72B/yr)
Base	~$650B (60% CAGR)	~50%	$27B/mo ($324B/yr)
Bull	~$850B (75% CAGR)	~48%	$34B/mo ($408B/yr)

Share benchmarks for category leaders: DraftKings ~30% of US sportsbook handle; Hyperliquid ~60% of on-chain perp volume. Polymarket's 48–50% Base/Bull share sits between the two, consistent with prediction markets being more winner-take-most than sportsbooks (fewer liquidity pools) but less monopolistic than on-chain perps (more regulated entrants competing).

Sanity check against observed on-chain data: Polymarket monthly volume grew 2.4× in four months from Nov-2025 to Mar-2026. Annualised, this tracks well above the 75% Bull CAGR, allowing for material deceleration post fee activation. This short-window of on-chain data supports these industry projections rather than straining them.

Competitive landscape

Polymarket operates in a category now contested by more than a dozen federally regulated US platforms spanning on-chain exchanges, regulated brokerages and sportsbook incumbents with orders of magnitude more distribution.

On the on-chain side, Polymarket is without a doubt the category-defining on-chain CLOB. Hyperliquid's HIP-4 (Outcome Trading) is live on testnet as of April 2026 and will allow users to trade binary outcome markets without KYC. Hyperliquid competes for the same attention on the on-chain user side, so monitoring mainnet traction is key here.

The second is regulated distribution. Kalshi was the first CFTC-licensed DCM purpose-built for event contracts at scale and has been the category's most-used third-party rail - Coinbase launched prediction markets in January 2026 by routing through Kalshi (alongside the acquisition of The Clearing Company, a prediction-markets team led by ex-Polymarket and ex-Kalshi veterans), and Robinhood opened its Predictions Hub in March 2025 via the same Kalshi rails. But the pattern across regulated-distribution players is consistent: start via a partner, then move to own the rail. Robinhood acquired MIAXdx (a CFTC DCM) in January 2026 and announced a joint venture with Susquehanna to operate its own exchange and clearinghouse. IBKR is already the vertical-integration endpoint - its ForecastTrader product trades on ForecastEx, a wholly-owned CFTC DCM and clearinghouse launched in August 2024. Kalshi's position as the default third-party rail is narrowing accordingly.

The third is the sportsbook incumbents, which are following the same start-via-partner, move-to-own trajectory. FanDuel Predicts and DraftKings Predictions route through CME Group's DCM; Underdog and Fanatics Markets route through Crypto.com's Derivatives North America (CDNA, the former NADEX) - a full-stack CFTC DCM and clearinghouse. Underdog has since acquired Aristotle Exchange (another CFTC DCM) to pull rails in-house. As for how seriously these sportsbook incumbents are taking prediction markets, Flutter is guiding $200–300M of EBITDA drag in 2026 from the FanDuel Predicts launch, and these same firms have raised $48M+ for a Win for America super-PAC which will almost certainly seek to include licensing language that benefits their position further in prediction markets.

Moat

Polymarket is the only operator combining on-chain distribution at category-leading scale (deepest CLOB book in the sector), its own regulated rails, and TradFi alignment. On distribution, it runs 747k MAU and $5.98B of March 2026 single-sided USDC volume although it is worth noting that Kalshi has taken the monthly volume lead since Q3 2025 on sports seasonality and regulated US retail access. On rails, QCEX - a CFTC DCM acquired and in launch for Q3–Q4 2026 - closes the single gap Polymarket carries against Kalshi. The

supporting assets are a brand with ~3.2× Kalshi's global search interest (Google Trends) that widens around political inflection points, category breadth across politics, sports and crypto against Kalshi's ~85%-sports monoline, institutional reach through ICE (Intercontinental Exchange, NYSE's parent - $2B invested at a rumoured ~$8B Polymarket valuation) and Google Finance and X integrations that no competitor can match. Every other incumbent is a subset of that composite: Kalshi owns rails with inferior distribution and on-chain franchise; Coinbase has distribution but rents rails from Kalshi; Robinhood has distribution and is acquiring rails (MIAXdx + Susquehanna JV) but no category-leading product; IBKR owns rails via ForecastEx but has not cracked retail scale. The industry-wide 'start via partner, move to own' arc that Coinbase, Robinhood, Underdog and DraftKings are all mid-way through, Polymarket resolves in a single move when QCEX goes live - the moat-formation event.

Growth Scenarios and Valuation

Three worlds, each defined by a specific regulatory and competitive setup. Volume trajectories are anchored on DraftKings' 2021–2024 handle growth (4.54× over three years), chosen because it combines continuing post-PASPA state-by-state unlock with DK's breakthrough-to-scale phase. 2021 was DK's first $1B-revenue year. That regulatory-unlock-plus-breakthrough regime is the closest analogue to what Polymarket enters post-QCEX. Net take rates are anchored on observed March 2026 effective net of 0.28% and scaled by world-specific category-mix and user-type assumptions. Revenue is TTM through end-Q1 2029, the natural exit point of a three-year hold from April 2026.

World probabilities

World weights (**29.4 / 32.4 / 38.2**, shown rounded elsewhere) derive from the empirical distribution of 17 high-relevance regulatory events 1993-2026 (a curated subset of a 42-event dataset covering every US CFTC-registered event-contract DCM plus every material prediction-market federal regulatory event).

Bucket	Share	Assigned to	Rationale
shutdown_us	18%	Bear	Regulatory termination of US operation.
geofence + continue	12%	Bear	US operation ceases; material thesis impairment.
fine + continue	6%	Base	Monetary penalty; operations continue.
restructured	12%	Base	Entity- or product-level restructuring; operations continue.
acquired	6%	Base	Continuation under new regime (Hedgestreet→Nadex template).
ongoing	18%	50% Base / 50% Bull	Under regulatory review; 50/50 is the default under uncertainty.
no_action	29%	Bull	Regulator declines to act; favourable resolution.

Bear (29%)

There is no change to the current regulatory position, QCEX is not the unlock it is slated to be. Polymarket stagnates in market share as regulated incumbents dominate the prediction market vertical. The platform runs at roughly current scale, mainstream retail is not unlocked. Category mix holds at observed March 2026 levels as user type remains static.

Base (32%)

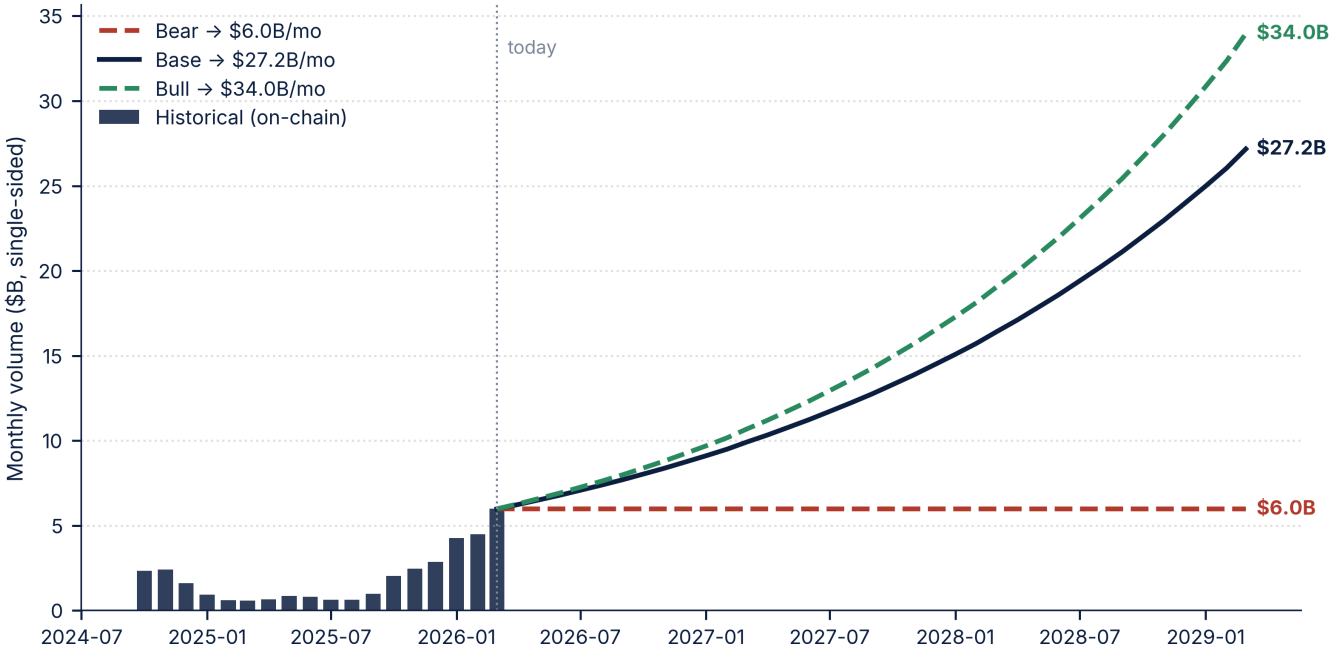
QCEX is the regulatory unlock Polymarket was banking on; it launches in H2 2026. State-AG actions resolve via restructuring/modest fines. Sportsbook customers migrate in as volumes follow the same shape as DraftKings' 2021–2024 unlock-and-scale window, the closest regulatory-unlock-plus-breakthrough analogue in an adjacent category. Category mix tilts sports-dominant as mainstream retail absorbs onto the rails. Sportsbook migrants are more likely hold-to-resolution users, so retention of gross fees lifts modestly (9% → 13%); net take rises from observed 0.28% to ~0.38%.

Bull (38%)

CFTC clarity plus federal preemption of state actions - a unified US market. Polymarket becomes the category-defining event-contract primitive; ICE institutional distribution activates. Structural difference vs Base: more kinds of use cases (corporate event hedging, macro, compliance-friendly CFD alternatives, weather, political risk) not just more sports users. Volume follows DraftKings × 1.25× category-creation premium to ~$34B/mo by Q1 2029 (5.68× current). Category mix distributes roughly equally across primary

categories as use cases and user types broaden. On take rate, the broader category mix shifts volume toward mid-probability contracts, lifting fee retention on the incremental category-creation volume, dragging the blended take modestly above Base to ~0.40%. Further Bull upside vs Base lives in a separate non-trading revenue line: QCEX clearing fees (~$45M at ~3% of trading) plus data and index licensing (~$30M), for ~$75M combined - conservative vs CME's ~10% and ICE's ~19% mature-venue data shares.

Volume forecast



Multiple framework

Valuation is EV/Sales throughout. Public comps anchor at the mature end (Coinbase 5.7×, ICE 8.7×, Robinhood 14.0×, CME 16.4×). High-growth private and crypto-native comps sit at the top of the panel: Hyperliquid trades at ~47× FDV on net fees ($42.28B FDV / ~$900M revenue); Kalshi's $22B March 2026 round on $263.5M 2025 fee revenue implies ~83× TTM, the hot-private category peak.

Bear 5 / **10** / 15× - stagnating franchise priced like a mid-tier public exchange that failed to unlock mainstream retail. **Base** 15 / **25** / 35× - growth-stage retail trading platform with QCEX-unlock underway. **Bull** 30 / **50** / 75× - category-defining institutional primitive.

Summary

	Bear	Base	Bull
Volume Q1 2029	$6.0B/mo	$27.2B/mo	$34.0B/mo
MAU Q1 2029	0.7M	3.7M	5.2M
Net take rate	0.3%	0.4%	0.4%
Revenue (TTM Q1 2029)	$0.20B	$1.08B	$1.49B
EV/Sales (mid)	10.0×	25.0×	50.0×
Equity Value (modelled mid)	$2.0B	$26.9B	$74.7B
Realised Value (3yr hold mid)	$1.2B	$19.4B	$48.7B

Modelled Equity Value is the Q1 2029 paper mark (TTM revenue × multiple). Realised Value is what an investor entering today captures by Q1 2029 - the gap reflects a liquidity haircut versus a pure public mark, multiple compression between the modelled Q1 2029 mark and actual exit, and partial proration of a six-year IPO path inside a three-year hold.

Token - qualitative optionality, not underwritten

In a world where tokens increasingly command a meaningful economic share, it is no longer feasible to underwrite token warrants as a free option for equity investors. Polymarket has not published a token design, so the equity case stands alone from a modelling perspective. But if faced with an equity term sheet that

includes token warrants, L1D should weigh both sides.

Upside: a well-designed fee-sharing or app-chain token that routes additional economics to holders could add material upside on top of the equity case. Polymarket currently accounts for roughly 65% of Polygon's transaction volume, translating to an estimated ~$13.3M per year in gas fees paid to the Polygon network. A plausible app-chain design would allow Polymarket to recapture that value while also disintermediating UMA as its oracle provider, meaningfully improving the platform's margin structure. If executed well, a successful token launch can also drive positive reflexivity in demand for the underlying product - although in recent history, sustained positive reflexivity from token launches has been the exception rather than the rule.

Downside: a poorly designed token risks negative reflexivity. TGE drawdowns across 2024–25 have been severe and self-reinforcing: a recent, high-profile analogue is Lighter with the launch of LIT, where pre-token volumes failed to sustain, triggering a doom loop of token price down, platform activity down. Equally, if the token ends up routing a material share of platform fees to holders, this is economically equivalent to equity dilution - unless warrant coverage offsets it.

Risks

Regulatory risk guides the outcome of the entire model; it is the primary input to the world weights and volume trajectories. The better question to ask here is how to monitor it: CFTC federal preemption (SCOTUS cert pending); state AG count (12 today, adverse above 20); Arizona criminal trial outcome; international blocks (34 today); Win for America PAC deployments by state (particularly whether prediction-market licensing appears in sports-betting legislation).

Other risks are ordered below by severity.

Competition. PM's liquidity flywheel, category breadth and brand give it a durable first-mover position, but well-capitalised entrants bundling predictions into an existing brokerage/sportsbook UX is a very plausible competitive risk and one which should be monitored by tracking both qualitative (announcement/product launches/acquisitions) and quantitative metrics (e.g., Hyperliquid HIP-4 mainnet traction).

Fee regime immaturity. Platform fees were fully activated Jan-Mar 2026; this memo is written with less than one full quarter of post-activation data. The 0.28% observed net take anchors every world's revenue, but has not been tested across a full cycle or at materially larger volume; surprises live in both directions (schedule or mix shifts lift net take; unobserved volume elasticity to fees pulls it down).

Resolution integrity. A contested high-stakes resolution (election, geopolitical) that UMA visibly gets wrong damages the neutral-truth-machine brand more than near-term revenue, but brand is the moat. Top-10 markets are only 5.4% of volume (low versus comparable books), but a single politically charged resolution going sideways is still the most likely public-trust shock.

Counterparty concentration. Top-100 wallets are 19.4% of volume, broader than a typical CLOB but still exposing revenue to a small number of users/entities; a coordinated rotation to Kalshi or a new venue hits volume before it hits MAU.

Crypto cycle stress. A 2022-style winter (70% BTC/ETH drawdown, ~12 months) would likely compress volume and MAU materially; this would affect the Bear world most given the current category mix.

Coplan key-person risk. Founder-led narrative, regulatory relationships, and product taste concentrated in one person. FBI raided Coplan's Manhattan apartment in November 2024 (devices seized, no charges filed) investigating Polymarket's compliance with its 2022 CFTC settlement on US user access; Coplan framed it as politically motivated retribution after Polymarket's accurate 2024 election call.

Wash trading / airdrop farming. Columbia University estimates Polymarket's current wash-trading share at ~15% of notional volume, and my prior was that airdrop-farming ahead of an expected token would drive an outsized share of activity. The data pushes back: in Q4 2025, Kalshi's monthly volume and growth actually outstripped Polymarket on purely Kalshi-native drivers (sports seasonality, CFTC-registered US retail, Robinhood and Coinbase distribution routing through Kalshi), despite public commentary confirming a POLY token from Polymarket's CMO. If farming were dominant we'd expect Polymarket volume to pull ahead as token expectations built, not fall behind. Either way, the introduction of fees is the natural suppressant, but this may take time to play out, eventually leading to a drag on volumes in the event that wash trading / airdrop farming are in fact dominant contributors to volumes.